

LIBERTY CYBER THREAT INTELLIGENCE

THE ALAMO THREAT BRIEF™

OPEN SOURCE INTELLIGENCE

ISSUE	ATB-2026-22
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DOMINANT JUDGMENT	ACCESS IS THE NEW PERIMETER

Executive decision intelligence for Texas critical infrastructure.

Executive Warning: The exploited seam this week is not a network perimeter — it is the boundary between digital access and operational authority, and adversaries are working both sides of it. A water-sector intrusion campaign first confirmed in Minnesota has widened to Michigan and New Jersey, with unconfirmed wire reporting placing the total at twelve states; attackers who gain remote control of small-utility systems are forcing operators into manual operations to preserve safety. Separately, an identity-centric extortion group has pivoted from retail and healthcare into private equity, hedge funds, and law firms — walking through corporate identity systems by phone call rather than by exploit. Neither campaign has produced a confirmed Texas-specific incident, but both expose a pattern Texas leadership should not assume applies only to someone else’s utility or someone else’s bank. A federal remediation deadline and a state grid-connection audit both landed this week, compressing the window boards have to decide who holds emergency authority before the next event forces the question.

Board Implications This Week — Ask

Who is authorized, right now, to isolate OT remote access or lock down an identity/help-desk workflow during an active campaign — without waiting for a scheduled meeting?

Board Implications This Week — Direct

Require a named executive for OT-isolation authority and a named executive for identity/help-desk lockdown authority, confirmed in writing this week.

Board Implications This Week — Document

Record which vulnerability-remediation exceptions leadership has accepted this week and why, ahead of the 14 August federal remediation-policy milestone.

Board Implications This Week — Rehearse

Run a five-minute tabletop: your help desk gets a call from someone with an employee’s real phone number, capable of capturing their MFA token live. Who do they call, and what can that person authorize without you?

CENTERPIECE ANALYSIS

Liberty CTI assesses with **high confidence** that the exploited failure point across this week's two lead stories is the same: control over operational or identity systems is shifting to whoever can reach the access channel, not whoever holds the perimeter. Water utilities are losing control of programmable control systems through internet-exposed remote-access paths. Financial and legal firms are losing control of identity through help-desk trust, not through defeated multi-factor authentication. These are different sectors and different adversary types, but they present the same executive decision problem: who has pre-authorized emergency authority to sever or restrict an access channel before an intrusion becomes an operational or extortion event.

This is an **escalation of a standing call, not a new hypothesis**. ATB-2026-21 assessed the water-sector campaign's occurrence at high confidence — confirmed operational effects, seven-plus states — with Iranian affiliation carried as the leading hypothesis at moderate confidence, explicitly unconfirmed. This week's reporting is consistent with that trend line and does not change either judgment. What is genuinely new this week is the identity-centric extortion campaign against major financial and private-equity firms, which has not previously received standalone ATB treatment.

Bottom line: Attribution on the water campaign remains unresolved — treat it as assessed likely origin, not confirmed fact, in any board or regulator communication. The finance-sector campaign requires no attribution debate to be actionable: the technique defeats trust, not technology, and any organization running federated identity with a human-staffed help desk is a plausible target regardless of sector label.

Section I

What Changed This Week

Water-Sector Campaign Widens to Michigan and New Jersey

Michigan confirmed cyber incidents affecting nine water systems, and New Jersey confirmed two affected utilities where operators shifted to manual operations without service disruption or contamination. Unconfirmed wire reporting (Axios, ABC News, anonymous sourcing) places the total number of affected states at twelve as of 4 August, alongside a separate finding that a volunteer cyber-defense corps has reached only 21 of roughly 50,000 small water utilities nationwide. Liberty CTI treats the twelve-state figure as directionally consistent with the confirmed trend but not yet corroborated to the standard of the named-official confirmations in Michigan and New Jersey.

Identity-Centric Extortion Pivots Into Major Financial and Private-Equity Firms

An extortion cluster tracked by primary vendor research rebranded from a retired public identity into several new fronts and shifted its primary targeting from retail and healthcare into private equity, hedge funds, law firms, and ratings agencies. Reporting names several large financial and private-equity firms among those targeted this month; some have confirmed attempted or blocked intrusions, most declined further comment. The technique bypasses multi-factor authentication by convincing an employee to authenticate the attacker, not by defeating the control technically. See Technical Annex for full TTP detail.

Texas Orders Audit of Entire Data-Center Interconnection Queue

On 3 August, Governor Abbott directed PUCT and ERCOT to audit every data-center project in the grid interconnection queue — roughly 1,800 projects, over 474 GW, approximately 90 percent data centers — before any further connections proceed. ERCOT has paused its Batch Zero classification notifications and will seek a good-cause exception at PUCT's 20 August open meeting. This is a governance and timeline

development, not a cyber incident, but it directly affects Energy and AI/cloud clients with projects in the queue and compounds the OT-exposure question raised by the water-sector campaign: audited interconnection means audited infrastructure.

CMMC Reform Window Closes in One Week

The Department of War's CMMC Reform Task Force Request for Information closes 14 August, with recommendations due to the CMMC Reform Task Force by mid-September. Phase I self-assessment, DFARS 252.204-7012, and False Claims Act exposure remain fully in force regardless of the Phase II suspension. Defense contractors have one week left to shape the reformed program before the input window closes.

Section II

Key Judgments

KJ-1

Liberty CTI assesses that the exploited failure point across this week's water-sector and financial-sector campaigns is the same: control over operational or identity systems is shifting to whoever can reach the access channel, not whoever holds the perimeter. **HIGH CONFIDENCE**

Source basis / uncertainty: Source basis: confirmed water-sector reporting (Michigan, New Jersey state officials); primary vendor threat research on the financial-sector extortion campaign; current wire reporting on named financial and private-equity targets. Primary uncertainty: this is a structural pattern judgment across two independently confirmed campaigns, not a claim that the two campaigns are operationally linked.

Decision implication: Decision Implication: Boards should treat OT-isolation authority and identity/help-desk lockdown authority as the same category of decision — pre-authorized, named, and exercised before an incident forces the question.

KJ-2

Liberty CTI assesses, unchanged from ATB-2026-21, that the water-sector campaign's occurrence is confirmed at multi-state scale with operational effects requiring manual operations. **HIGH CONFIDENCE**. Iranian affiliation remains the leading hypothesis and is not a confirmed attribution. **MODERATE CONFIDENCE**

Source basis / uncertainty: Source basis: Michigan and New Jersey state-official confirmations this week; ATB-2026-21's FBI/EPA PSA I-073026-PSA and CISA companion-alert basis carried forward. Primary uncertainty: the unconfirmed twelve-state figure and any specific Iran attribution in current reporting rely on anonymous sourcing and do not meet Liberty CTI's threshold for a confidence upgrade on either count.

Decision implication: Decision Implication: Communicate occurrence to boards and regulators as confirmed fact; communicate attribution as assessed likely origin, not confirmed fact. Overstating certainty on attribution is a credibility risk if it later shifts.

KJ-3

Liberty CTI assesses that identity-centric extortion targeting private equity, hedge funds, and law firms materially raises executive risk for any Texas enterprise running federated identity (Microsoft 365, Okta, SSO) with a human-staffed help desk. **MODERATE CONFIDENCE**

Source basis / uncertainty: Source basis: primary vendor threat research documenting the TTP chain and rebrand; current wire reporting naming targeted firms. Primary uncertainty: the full victim list and total campaign scale rely on current media reporting; not every attempted intrusion succeeded, and no Texas-domiciled victim has been named.

Decision implication: Decision Implication: Confirm whether your help desk can independently verify an employee's identity on an inbound call without relying on caller ID or a phone number the employee already appears to hold.

Section III

Geopolitical Driver

The strategic backdrop remains Iranian OT targeting tied to retaliation capacity amid continued U.S.-Iran friction, layered onto a persistent baseline of criminal extortion ecosystems monetizing identity trust rather than technical exploits. What changed this week is not the underlying driver — it is the demonstrated reach of both patterns: OT compromise expanding geographically among under-resourced utilities, and identity compromise expanding upmarket into sophisticated, well-defended financial institutions.

CRITICAL INTELLIGENCE WARNING

Continuum assessment: Late-stage Competition with acute Crisis-conditioning indicators, unchanged from ATB-2026-21. No retained reporting supports a transition to Conflict. **No Flash Warning threshold was met.**

Section IV

Why This Matters to Texas

No Texas utility and no Texas-domiciled financial or legal firm has been named in either campaign. That is not the same as Texas being unexposed. The confirmed water-sector technique does not require a sophisticated or well-resourced target, and Texas has hundreds of small municipal water systems with comparable remote-access architecture. The confirmed finance-sector technique does not require a technical vulnerability at all — only a help desk willing to trust a caller. Texas energy trading desks, PE-backed operators, and law firms serving them carry the same exposure as their Wall Street counterparts.

Cross-Sector Cascade Assessment

**Energy / AI
ERCOT / OT / Data
Centers**

What changed: The water-sector exposure pattern — internet-exposed control systems, vendor remote access — is directly transferable to small and distributed grid OT. Separately, Governor Abbott's 3 August directive requires PUCT and ERCOT to audit the entire data-center interconnection queue before further grid connections proceed. **Why it matters locally:** This is a governance and timeline risk, not a cyber incident, but it compounds the OT-exposure question for Energy and AI/cloud clients: audited infrastructure is infrastructure boards should already understand the security posture of. **Cascade risk:** Interconnection delay affects capital planning and vendor-risk timelines for any AI/cloud operator depending on Texas grid capacity.

Financial Identity / Extortion / Recovery	What changed: A rebranded extortion cluster has pivoted from retail/healthcare into private equity, hedge funds, and law firms, using help-desk vishing and adversary-in-the-middle credential capture rather than technical exploits. Why it matters locally: Texas energy trading desks, PE-backed operators, and law firms serving them carry the same identity-trust exposure regardless of sector label. Cascade risk: A successful intrusion creates extortion, disclosure, privilege, and customer-trust decisions even when core systems remain fully operational.
Healthcare / DIB Continuity / Compliance	Healthcare: Water and identity infrastructure are both under active pressure simultaneously this week; hospitals depend on both for sanitation, sterilization, cooling, and patient-record access. DIB: The CMMC Reform RFI window closes 14 August — contractors have one week left to shape the reformed program; Phase I self-assessment and DFARS 252.204-7012 obligations are unchanged regardless of the input window's outcome. Cascade risk: Healthcare degradation creates immediate safety pressure; DIB degradation creates contract-performance and compliance pressure ahead of a hard deadline.

Section V

Indicators & Warnings — PIR Watch, 1 to 4 Weeks

PIR 7 / I&W 1 Official U.S. attribution statement on the water-sector campaign [*→ Sustained*]

- Watch for a named-actor statement from CISA, FBI, or ODNI.
- Would upgrade attribution confidence above Moderate; continued official silence holds it in place regardless of anonymous-sourced media framing.
- Tied to: PIR 7, geopolitical-cyber acceleration.

PIR 1 / I&W 2 A Texas-named victim in either campaign [*↑ Rising*]

- Watch for a Texas utility, municipality, financial firm, or law firm named in water-sector or identity-extortion reporting.
- Would meet the outstanding condition ATB-2026-21 identified as the threshold for Flash Warning consideration.
- Tied to: PIR 1, nation-state and criminal targeting of Texas entities.

PIR 5 / I&W 3 CMMC Reform Task Force output ahead of the mid-September deadline [*→ Sustained*]

- Watch for early signals on which NIST SP 800-171 controls survive the review.
- Would reshape DIB compliance planning before the formal report lands.
- Tied to: PIR 5, strategic vulnerability exposure across the defense industrial base.

PIR 6 / I&W 4 PUCT's 20 August ruling on ERCOT's good-cause exception [*→ Sustained*]

- Watch for the docket outcome setting the near-term timeline for every paused interconnection project.
- Would clarify capital-planning exposure for Energy and AI/cloud clients with projects in the queue.
- Tied to: PIR 6, executive decision-relevant warning.

PIR 4 / I&W 5 Identity-extortion expansion beyond named large-cap firms [*↑ Rising*]

- Watch for movement into mid-market private equity, regional banks, or Texas-domiciled financial or legal entities.
- Would raise this from a large-cap story to a Texas board-level one.
- Tied to: PIR 4, adversary innovation and TTP effectiveness against mature enterprises.

Section VI

Governance Implication Block

Decision at risk	Whether leadership has pre-authorized, named authority to sever OT remote-access paths and to lock down identity/help-desk workflows fast enough to prevent an intrusion from becoming an operational outage or an extortion event.
Owner	CEO/COO for OT isolation authority; CISO/CIO with General Counsel for identity-control and help-desk lockdown authority; board/audit-risk committee for oversight and documentation.
Consequence of delay	An intrusion that could have been contained in hours becomes a multi-day manual-operations event, an extortion negotiation, or a disclosure decision made for the first time under live pressure — with no prior record showing informed oversight.
Action this week	Confirm, in writing, who can order OT isolation/manual operations and who can suspend help-desk/identity workflows during an active campaign. Run the five-minute help-desk tabletop described above.
Record to preserve	The named authority for OT isolation and identity lockdown, the date it was confirmed, any vulnerability-remediation exceptions accepted this week and why, and documentation of ERCOT/PUCT interconnection exposure for any client with projects in the queue.

Section VII

Actions This Week

CRITICAL INTELLIGENCE WARNING

Ask: Who can order OT isolation and manual operations, and who can suspend help-desk/identity workflows, without waiting for a scheduled meeting?

Approve: The five-minute help-desk vishing tabletop — a real employee phone number, a live-captured MFA token, and no advance warning.

Document: Vulnerability-remediation exceptions accepted this week, and why, ahead of the 14 August CMMC RFI deadline and the 7 August BOD 26-04 milestone.

Rehearse: A combined scenario — OT control loss plus an identity-workflow compromise attempt in the same week, the pattern this issue actually describes.

Section VIII

Prior Judgment Tracker

Prior judgment	ATB-2026-21 (published 1 Aug) assessed water-sector occurrence at High confidence — confirmed operational effects, seven-plus states — with Iranian affiliation as the leading hypothesis at Moderate confidence, explicitly unconfirmed.
Current status	Occurrence holds at High confidence, reinforced by named-official confirmations in Michigan and New Jersey. Attribution holds at Moderate confidence, unchanged — this week's "prime suspect" framing in anonymous-sourced reporting is consistent with, not an upgrade from, the prior "leading hypothesis" language.
What changed	ATB-2026-21's own next-indicator condition — a Texas victim, formal attribution, or a second confirmed multi-victim wave — has been partially met via the Michigan/New Jersey wave, but not fully: no Texas victim, no formal attribution. Flash Warning threshold not met. Separately, identity-centric extortion enters standalone ATB treatment for the first time this issue.
Confidence movement	No confidence movement on either water-sector judgment this issue. New judgment established this issue (KJ-3, finance-sector identity risk) at Moderate confidence.
Next indicator	A Texas-named victim in either campaign, formal U.S. government attribution on the water-sector campaign, or identity-extortion expansion into mid-market Texas financial or legal entities would raise escalation posture.

Section IX — Sourcing

Open Source Basis

PRIMARY SOURCES — ATB-2026-22 — COVERAGE WEEK 02–08 AUGUST 2026

GOVERNMENT / REGULATORY

U.S. EPA — Cybersecurity 102 Water-Sector Training

epa.gov/cyberwater/cybersecurity-102

Published 5 Aug 2026. Basis for water-sector governance posture; not evidence of a new attack, used as context only.

PRESS / STATE AUTHORITY

NBC10 Philadelphia citing NJCCIC — New Jersey Water Utility Incidents

nbcphiladelphia.com/news/local/cyberattack-targets-water-systems-new-jersey

Published 4 Aug 2026. Single-source for New Jersey-specific incident detail; corroborated at pattern level by national reporting.

GOVERNMENT / REGULATORY

FedRAMP — Response to CISA BOD 26-04

fedramp.gov/notices/0014

7 Aug 2026 milestone; notice published 16 Jun 2026. Basis for DIB and federal-adjacent governance implication.

GOVERNMENT / STATE

Office of the Texas Governor — Data Center Audit Directive

gov.texas.gov/news/post/governor-abbott-directs-comprehensive-data-center-audit

Published 3 Aug 2026. Basis for Energy/AI cross-sector implication.

MARKET NOTICE**ERCOT — Market Notice M-A080326-01**

ercot.com/services/comm/mkt_notices/M-A080326-01

Basis for Batch Zero pause and 20 Aug PUCT hearing date.

PRIMARY VENDOR RESEARCH**Google Threat Intelligence Group — Identity-Extortion Campaign Update**

cloud.google.com/blog/topics/threat-intelligence/unc6671-targets-financial-services-and-enterprise-cloud-environments

Published 6 Aug 2026. Basis for KJ-3 and Technical Annex TTP detail. Full technical indicators reserved for the Technical Annex.

PRESS**Axios — Water-Sector State Count Expansion**

axios.com/2026/08/04/water-cyberattacks-us-iran

4 Aug 2026. Anonymous sourcing; cited for the unconfirmed 12-state figure and the volunteer-defense-corps coverage gap only. Not used to move attribution or occurrence confidence.

PRESS**ABC News — 12-State Water Sector Report**

[abcnews.com — 12 states face cyberattacks on water systems](https://abcnews.com/12-states-face-cyberattacks-on-water-systems)

4 Aug 2026. Anonymous sourcing on Iran as “prime suspect.” Cited for public-reporting context only; not treated as an attribution upgrade.

PRESS / SECONDARY**Reuters/Bloomberg-Derived Coverage — Named Financial-Sector Targets**

[pymnts.com — Wall Street’s new cybersecurity threat starts with a phone call](https://pymnts.com/wall-street-s-new-cybersecurity-threat-starts-with-a-phone-call)

6–7 Aug 2026. Cited for named-target reporting only; victim list and campaign scale not independently verified beyond primary vendor TTP corroboration.

TORCH FUSION CYCLE

WHAT: A water-sector OT campaign confirmed in Minnesota widened to Michigan and New Jersey this week, with unconfirmed wire reporting placing the total at twelve states; separately, an identity-centric extortion group pivoted from retail and healthcare into major private equity, hedge fund, and law firm targets using help-desk vishing rather than technical exploits. **WHO:** State officials in Michigan and New Jersey, and primary vendor threat research, defined the current-week evidence base. Iranian-affiliated actors remain the leading hypothesis for the water campaign, unconfirmed by federal agencies. The identity-extortion cluster operates under multiple rebranded public fronts tracked as a single core group. **WHY:** Small, under-resourced water utilities and sophisticated financial institutions are both exposed through the same underlying failure — the party that reaches the access channel controls the outcome, not the party that holds the perimeter. **WHAT NEXT:** Leadership should not wait for a Texas-named victim in either campaign before acting. The immediate task is naming who holds OT-isolation authority and who holds identity-lockdown authority, in writing, this week. *Warnings that arrive too late are not warnings. They are after-action reports.*

CISO-level technical detail — PLC device specifics, full TTP/IOC detail on the identity-extortion campaign, and ERCOT docket citations — is available upon request for retainer clients and technical points of contact.

For tailored executive briefings or advisory retainer inquiries: intel@libertycti.com · libertycti.com

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